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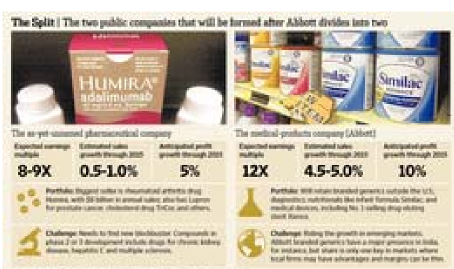
Abbott to Split Into Two Companies

By JONATHAN D. ROCKOFF

Abbott Laboratories will split its drugs and medical-products businesses into separate publicly traded companies in the face of growing pricing pressure and looming patent expirations in the challenging pharmaceutical sector.

The split, which is expected to conclude by the end of next year, cleaves a 123-year-old company that had relied on a diverse mix of drug-eluting stents, baby formula and prescription drugs to cushion against the periodic ups and downs in each of its various businesses. Abbott has grown significantly through acquisitions and other deals of late, especially in emerging markets. But management and Wall Street both had become increasingly concerned that it wasn't enough to balance the company's reliance on aging pharmaceuticals.



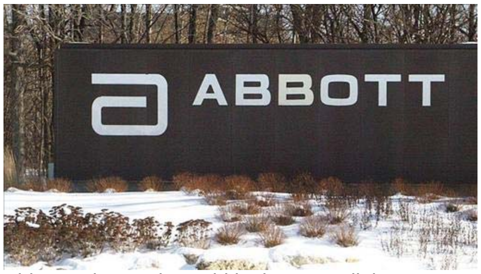
Bloomberg News; Associated Press

Sales of Abbott's rheumatoid arthritis therapy Humira, expected to be about $8 billion this year, account for a fifth of the company's roughly $40 billion overall revenue. Yet the treatment will probably face heavy competition soon from a new Pfizer Inc. pill under development, as well as generic versions once Humira's U.S. patent expires in late 2016.

Ultimately, Chief Executive Miles White decided to divide the faster-growing medical-products side of the company from the riskier but profitable drugs side. In an interview, Mr. White said Abbott has been studying a split for the past few years, and structured certain acquisitions and created a unit to sell old, off-patent medicines with an eye toward a potential division. Pharmaceuticals generate lots of cash and high returns, but require costly and long development, and depend on increasingly cost-conscious payers in the U.S. and other developed countries.

"There's still a lot of opportunity there, but it's different," he said after the company's announcement on Wednesday.

Also Wednesday, Abbott reported a profit of $303 million, or 19 cents a share, down from $891 million, or 57 cents, a year earlier. The drop was partly because the company took a pretax charge of $1.5 billion to cover the potential settlement of a government investigation into improper marketing of anti-seizure drug Depakote.



Abbott Laboratories said it plans to split into two publicly traded companies, separating medical products from research-based pharmaceuticals, George Stahl reports on Markets Hub. Photo: Getty Images.

The split underscores a divergence in the way pharmaceutical makers are dealing with the challenges of aging drug portfolios and increasing competitive and reimbursement pressures. Several rival companies have similarly opted to concentrate on doing their core business better. Pfizer, the world's largest drug maker by sales, is planning to shed its animal health and nutritionals groups. Bristol-Myers Squibb Co. sold off its baby-formula and wound-care businesses to concentrate on prescription medicines.

Others have driven a wave of consolidation in recent years. Key to both Pfizer's $68 billion acquisition of Wyeth and Merck & Co .'s $41.1 billion takeover of Schering-Plough was the addition of consumer-health products and other businesses that would lessen companies' reliance on blockbuster medicines and unpredictable drug research, executives said at the time.

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Sanofi SA CEO Christopher Viehbacher has extolled the potential research synergies from the company's animal-health products, as well as their revenue potential in fast -growing emerging markets. At Merck, animal health as well as consumer-health goods like Coppertone suntan lotion are "important to us," CEO Ken Frazier told analysts earlier this year.

Robert Essner, former chief executive of Wyeth who now teaches in Columbia Business School's health-care program, said the decision ultimately depends on companies' assessment of their prospects for launching new blockbuster drugs, and whether they think Wall Street holds a dim view of their pipeline, depressing the share price.

"The better the perception of the pipeline, the less desire for diversification," he said.

Mr. White said he supports the balance supplied by diversification, but became convinced over the past few years that Abbott's two sides were headed down different paths. Unlike the company's branded pharmaceuticals, its medical products are a growth-driven business with a heavy emphasis on emerging markets.

Balancing Act

Two businesses will emerge:

- A pharmaceutical company with rheumatoid arthritis drug Humira, among others
- A medical-products company with infant formula Similac and the Xience stent

When Abbott's split is completed, Mr. White will become head of the medical-products business, which will retain the Abbott name. Richard Gonzalez, a former chief operating officer at Abbott who has been heading the company's pharmaceuticals business, will run the separate, as-yet unnamed drug company.

The medical-products company, with about $22 billion in yearly sales, has the stronger growth prospects. Mr. White estimated sales growth in the high single digits. Its top-selling product with more than $1.5 billion in yearly sales will be a drug-coated stent called Xience that is the No. 1 seller in its category and is expected to gain more ground because rival Johnson & Johnson is exiting the stents business, according to J.P. Morgan analyst Michael Weinstein.

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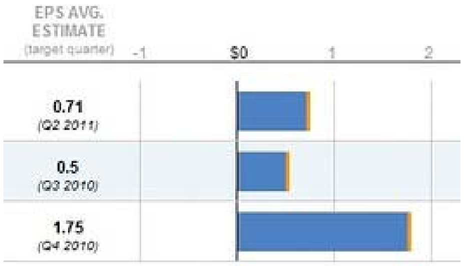

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About 40% of the medical-products company's sales will be in fast-growing emerging markets, and 40% of its revenue will be paid by patients, rather than cost-conscious governments and insurers, Mr. White said.

The pharmaceuticals company will take the brunt of the issues confronting Abbott, Mr. Weinstein said. He estimates Humira will account for more than 75% of the firm's 2013 earnings, despite competition from other anti-inflammatory therapies and its patent expiration. The new company will also face generic competition for two other big-selling drugs, cholesterol fighters TriCor and Niaspan, likely in 2012 and 2013, respectively.

In the conference call with analysts and investors, Mr. Gonzalez expressed confidence in the prospects for the branded pharmaceutical company. He said it would have nearly $18 billion in yearly sales and grow in the low-single digits the next few years before accelerating after the launch of some drugs in phase 3 development, such as bardoxolone for chronic kidney disease.

Abbott intends to distribute tax-free to its shareholders shares in the new company, at a ratio to be determined at a later date. Abbott said it expects the two companies will pay dividends that, when combined, would equal Abbott's dividend at the time of the split. Abbott said the transaction must be approved by its board of directors and clear regulatory hurdles, including an Internal Revenue Service ruling supporting its tax-free nature.

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